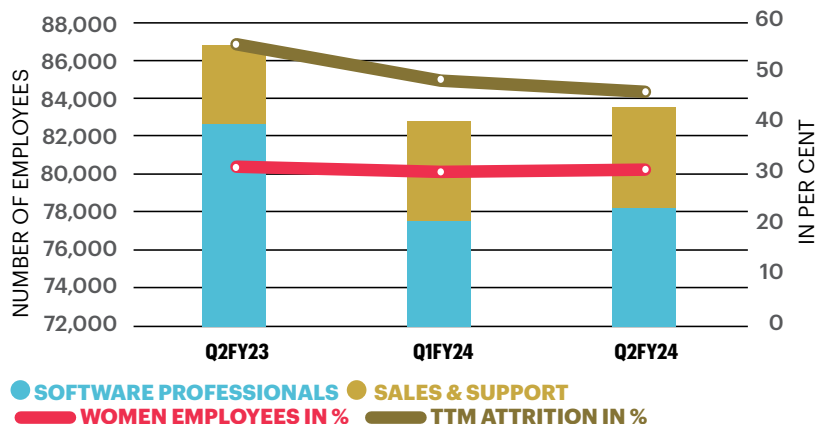


EMPLOYEE MIX

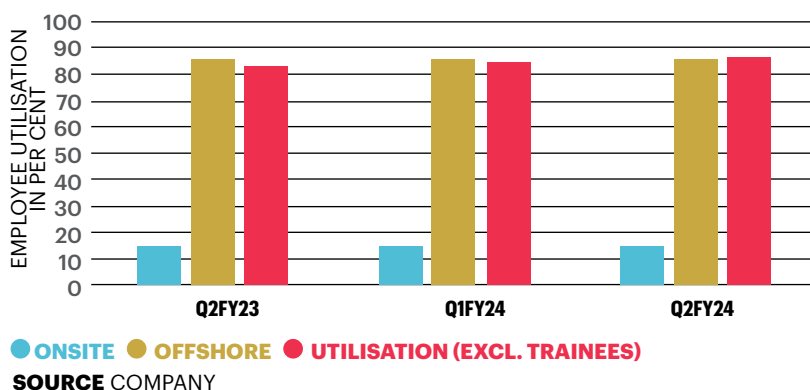
Headcount and Distribution

- The company's headcount has dipped over the past few quarters
- Not only that, fresher hiring numbers have also gone down



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- Just like other Indian IT players, LTIMindtree has been focussing on employee utilisation to improve margins
 - Efforts are also being made to actively reduce the bench size to improve utilisation



bined organisation,” Mishra notes, adding that in the absence of this clarity, anxieties and uncertainties take over. As a result, there could be a loss of key people, partners, suppliers and even clients.

The HDFC Securities report also cites LTIM's high exposure

to the BFSI sector as a challenge due to the reduced IT spending by the banking and financial services (BFS) clients.

But Deshpande notes that orders from the insurance sector is helping the company balance its BFSI momentum. “Within BFSI,

we'll need to look at BFS and insurance separately. Because even in this quarter (ended September), our insurance growth was robust, and I think we will see a similar trend in the next two quarters as well,” he says.

He adds that even though banks are looking at a significant cost reduction, the company has had a few deal wins in the BFS space as well. “So it'll sort of compensate for each other,” he says.

Despite the near-term challenges, LTIMindtree seems to have all the ingredients required to achieve its long-term goal of becoming a \$10-billion enterprise, the slowdown in the external markets and internal issues notwithstanding.

Chatterjee said the management has already met to roll out the overall exercise for the larger strategy, which is the avowed aim of getting to the \$10-billion mark over a period of four to five years. “That is kind of underway as we speak... We have a short-to-medium as well as a longer-term plan. And we are working towards each of those activities as we go along,” he said.

But the obstacles to the company's larger goal are the same external challenges that persist for the whole IT industry, says CIEL's Mishra. “The whole IT industry is dealing with global headwinds and facing challenges in utilising their existing workforce to the maximum extent possible in the delivery of client projects,” he explains. In the case of LTIM, he says, “With synergies unleashed, the integration strengthens the company's employer brand and market position. These could eventually increase their margins and the market value of the company”.

All the more reason for the company to keep its foot on the pedal and its focus on growth. **BT**

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